

bers in Delhi... our sector is more convenience-driven and some of these skills cannot be lost.

Q: What is the approach towards owning property versus the fee-based operating model? Your target is to have a 50:50 split between the two.

A: At one point, the traditional model of owning property was 77 per cent... Today, we are at 56 per cent, while the other 44 per cent is fee-based. Therefore, we are very much on course as far as the target goes. Having said that, only going asset-light is not the right structure since it's a lot of work for very little value creation.

Q: How do you decide on the approach?

A: It is always opportunity-driven. In key markets, we want to own the asset. In other markets, it is a revolving-door approach. With Taj, we would be definitely getting close to the 50:50 split. The name is so strong that you will get management contracts. With Ginger, we will be asset-heavy going forward since a lot of it is leased and that is counted as being as good as owned. The reason for a large chunk of it being leased is because the revenue is small. We need a lot of properties to make it a viable business... at least 500 of them. Again, it is necessary for scale to kick in if you adopt a purely asset-light [model]—since the ticket size is lower than the luxury [segment].

Q: How has the revenue pie across your properties changed over time?

A: Pre-Covid-19, 50 per cent of the business came from our Taj properties. We are now at 70 per cent. That said, the overall revenue has grown and so has the share. In 2016-17, Taj had 41 hotels and today, that number is at 81. Now, 24 of them had been Taj properties but [had been] rebranded to Vivanta; now they have been upgraded by effective asset management. Our ambition is to have 30-40 per cent of the business from Taj. In an ideal world, it should be equally split between Taj and non-Taj. Just to give you some perspective, the revenue of this [Taj] hotel will be ₹700 crore, while the entire Ginger range in two to three years from now, with its 100 hotels, will do ₹700 crore.

On the portfolio mix, you will need all the formats since India is heterogeneous... Having a range means the customer is with you at all times.

Besides, volatility and cyclicity are big factors, where the latter results in the former. The lower you go down from the Taj, the less is the nature of the fixed-cost business, with a higher proportion of variable costs. That is a cushion in bad times. We are doing well



“AI will not replace services. You don’t want to go to a palace hotel and use a mobile phone to open the door. It is a very intimate, personal experience... I think we will always be a service-driven business and that part is in need of the human touch”
